

pre-seed, seed or at best Series A stages—rarely extending to late-stage rounds where the real impact begins to unfold.

From a sectoral perspective, energy and transportation dominate climate-tech investments. Investors are particularly focused on energy efficiency, long-duration energy storage, waste heat recovery and alternative fuels, according to The India Climate Finance Report released in 2024.

“The recognition of climate change as a global as well as a domestic problem which has measurable ramifications has unlocked more investing activity in the space,” says Chintan Antani, Vice President, Seed and Acceleration, IIMA Ventures.

POLICY BOOST

Climate tech has become a more viable investment in India compared to five years ago. Most of the credit goes to the policy shifts.

Antani says the most widely discussed policy shifts include the Panchamrit Pledges of India’s climate action, put forward at the Conference of Parties to the UN Convention on Climate Change in 2022, Productivity-Linked Incentive schemes for batteries, solar power, and green hydrogen, and the FAME II (Faster Adoption and Manufacturing of Electrical Vehicles) scheme. The carbon trading framework has also lent momentum to the sector.

But climate tech isn’t operating in isolation. It’s intersecting with multiple traditional and emerging industries. According to Arjun Malhotra, General Partner at Good Capital, the current boom is being driven less by ESG mandates and more by measurable returns.

“Take swappable battery tech,” he says. “It’s cutting operational costs and charging times for



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“It’s (swappable battery tech) cutting operational costs and charging times for electric two- and three-wheelers, bringing EVs on a par with ICE vehicles in performance and convenience”

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WHAT’S LACKING?

Climate-tech investment has slowed recently, especially late-stage funding. Industry experts say substantial capital was deployed before 2023 and so investors are taking a breather. Several additional factors have also contributed to the slowdown.

Scalability and growth in climate tech emerge through disruption, says Shyam Menon, co-founder of Bharat Innovation Fund. He says deep tech requires disruptive IP or intellectual property, something not all climate-tech start-ups possess. “A solar panel assembler isn’t deep tech but a battery start-up with fast-charging IP is. True deep tech in climate includes innovations like fuel cells, energy storage or advanced materials,” says Menon.

While policy shifts are under way, regulatory challenges remain a key hurdle. Without mandates, adoption lags because businesses rarely absorb extra costs voluntarily. “The market only becomes viable when regulations are strictly enforced or when sustainable alternatives undercut conventional ones on cost—like solar, which is now cheaper than fossil fuels,” he adds.

There are different types of funds tailored to different businesses but the type of capital varies based on the organisation’s structure and objectives.

The race to net zero is far from over but with deep tech, policy tailwinds and investment momentum, climate tech may finally be shifting from promise to reality. **BT**

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